

-

File No: EXP202302279

RESOLUTION OF TERMINATION OF THE PROCEDURE DUE TO VOLUNTARY PAYMENT

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On September 19, 2023, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against CAIXABANK, S.A. (hereinafter, the respondent), through the Agreement that is transcribed:

<<

File No: EXP202302279

AGREEMENT TO INITIATE SANCTIONING PROCEDURE

From the actions taken by the Spanish Agency for Data Protection and based on the following

FACTS

FIRST: A.A.A. (hereinafter, the complainant) filed a complaint with the Spanish Agency for Data Protection on January 11, 2023. The complaint is directed against CAIXABANK, S.A., with NIF A08663619 (hereinafter, CAIXABANK). The reasons on which the complaint is based are as follows: The complainant states that, after requesting the deletion of their personal data from the credit information system ASNEF, they were informed, via a letter sent on December 28, 2022, that the reporting entity CAIXABANK has confirmed the existence of the outstanding debt and its permanence in the file.

The complainant points out that CAIXABANK has sold the outstanding debt to AXACTOR according to the attached notarial deed dated September 29, 2022, and the debt continues to be included in the ASNEF system by CAIXABANK.

Along with the complaint, the following documents are submitted:

- Response from ASNEF to the complainant, dated December 28, 2022, regarding the request for cancellation of their data in the delinquency file.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

- Notarial deed of Authorized Copy of the Novation Contract for the Sale of a portfolio of unsecured loans granted by CAIXABANK (...) as the selling party and in favor of AXACTOR ESPAÑA, S.L.U., (as the purchasing party) (...) dated September 29, 2022.

- Document addressed to the Court, submitted on October 5, 2022, whereby AXACTOR informs the Court of the existence of the debt assignment.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), this complaint was forwarded to CAIXABANK for analysis and to inform this Agency within one month of the actions taken to comply with the requirements established in the data protection regulations.

The forwarding, which was carried out in accordance with the regulations established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was acknowledged on February 23, 2023, as evidenced by the acknowledgment of receipt in the file.

The response to the forwarding made by CAIXABANK was registered with this Agency on March 22, 2023, in which the entity stated that, as of that date, the complainant's data was no longer present in the ASNEF credit information system.

THIRD: On April 11, 2023, in accordance with Article 65 of the LOPDGDD, the complaint filed by the complainant was admitted for processing.

LEGAL GROUNDS

I

Competence

In accordance with the provisions of Articles 58.2 of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, regarding the protection of individuals with regard to the processing of personal data and the free movement of such data (GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, in so far as they do not contradict them, by the general rules on administrative procedures."

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

3/11

II

Preliminary Issues

In the present case, according to the provisions of Article 4.1 and 4.2 of the GDPR, it is established that there is a processing of personal data, since CAIXABANK collects and retains, among others, the following personal data of individuals: name and surname, ID number, among other processing activities. CAIXABANK carries out this activity in its capacity as data controller, as it determines the purposes and means of such activity, pursuant to Article 4.7 of the GDPR.

On its part, Article 6.1 of the GDPR regulates the lawfulness of processing.

III

Unfulfilled Obligation

Article 4.11 of the GDPR defines the consent of the data subject as "any freely given, specific, informed, and unambiguous indication of the data subject's wishes by which they, by a statement or by a clear affirmative action, signify their agreement to the processing of personal data concerning them." Article 6.1 of the GDPR, titled "Lawfulness of Processing," establishes the circumstances under which the processing of personal data may be considered lawful.

"1. Processing shall be lawful only if at least one of the following applies:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
- c) processing is necessary for compliance with a legal obligation to which the controller is subject;
- d) processing is necessary in order to protect the vital interests of the data subject or of another natural person;
- e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;
- f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular when the data subject is a child.

The provision in point f) of the first paragraph shall not apply to processing carried out by public authorities in the performance of their tasks."

In relation to credit information systems, we must refer to Article 20, paragraphs 1 and 2 of the LOPDGDD, which establishes the following:

"1. Unless proven otherwise, the processing of personal data relating to the non-fulfillment of monetary, financial, or credit obligations by common credit information systems shall be presumed lawful when the following requirements are met:

- a) That the data has been provided by the creditor or by someone acting on their behalf or interest.
 - b) That the data refers to certain, overdue, and enforceable debts, the existence or amount of which has not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties.
 - c) That the creditor has informed the affected party in the contract or at the time of requesting payment about the possibility of inclusion in such systems, indicating those in which they participate.
- The entity maintaining the credit information system with data relating to the non-fulfillment of monetary, financial, or credit obligations must notify the affected party of the inclusion of such data and inform them about the possibility of exercising the rights established in Articles 15 to 22 of Regulation (EU) 2016/679 within thirty days following the notification of the debt to the system, with the data being blocked during that period.
- d) That the data is only maintained in the system while the non-fulfillment persists, with a maximum limit of five years from the due date of the monetary, financial, or credit obligation.
 - e) That the data concerning a specific debtor may only be consulted when the person consulting the system has a contractual relationship with the affected party that involves the payment of a monetary amount or has requested the conclusion of a contract that implies financing, deferred payment, or periodic billing, as occurs, among other cases, in those provided for in consumer credit contract legislation and real estate credit contract legislation.

When the right to limit the processing of the data has been exercised before the system by contesting its accuracy in accordance with Article 18.1.a) of Regulation (EU) 2016/679, the system shall inform those who may consult it in accordance with the previous paragraph about the mere existence of such circumstance, without providing the specific data regarding which the right has been exercised, while the request of the affected party is being resolved.

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es
5/11

- f) That, in the event that the request for the conclusion of the contract is denied, or it does not come to fruition as a result of the consultation carried out, the party that consulted the system shall inform the affected party of the result of said consultation.

2. The entities that maintain the system and the creditors, regarding the processing of data related to their debtors, shall be considered joint controllers of the data processing, being subject to the provisions established by Article 26 of Regulation (EU) 2016/679. It shall be the responsibility of the creditor to ensure that the requirements for inclusion in the debt system are met, being liable for their non-existence or inaccuracy.

(...)

In the present case, the claiming party pointed out that the entity CAIXABANK had sold a delinquent credit owned by it to another entity, providing as evidence the notarized sale document dated September 29, 2022, documentation submitted to the Court by the new holder of the debt, as well as the acceptance of the subrogation by the Court.

The claiming party indicates that, subsequently, it requested the cancellation of its data in the ASNEF credit information system, and it had been communicated to them, on December 28, 2022, that CAIXABANK had confirmed the existence of the debt.

On February 22, 2023, this claim was forwarded to CAIXABANK, which responded on March 22, 2023, that, as of that date, the data of the claiming party was no longer recorded in the ASNEF credit information system.

The lack of diligence displayed by the entity in fulfilling the obligations imposed by personal data protection regulations is, therefore, evident. A diligent compliance with the principle of lawfulness in the processing of third-party data requires that the data controller is in a position to prove it (principle of proactive responsibility).

In this regard, Recital 40 of the GDPR states:

“(40) For processing to be lawful, personal data must be processed with the consent of the data

subject or on another legitimate basis established in accordance with law, whether in this Regulation or under another Union or Member State law to which this Regulation applies, including the necessity of complying with a legal obligation to which the data controller is subject or the necessity of performing a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract.”

Therefore, the documentation in the file provides evidence that CAIXABANK violated Article 6.1 of the GDPR, as it is established that the claiming party remained registered in the ASNEF credit information system at the request of CAIXABANK, despite the fact that CAIXABANK had sold the outstanding debt to AXACTOR, as stated in the notarized deed dated September 29, 2022, submitted by the claiming party, as well as in the document addressed by AXACTOR to the Court, in which it requests procedural substitution as a consequence of the existence of the assignment.

Thus, CAIXABANK processed the personal data of the claimant without legitimacy, as they were registered in the ASNEF credit information system from September 29, 2022, the date on which the debt was sold, until March 22, 2023, the date on which CAIXABANK provided documentation proving that the data of the claiming party was no longer registered in ASNEF.

IV

Classification and qualification of the infringement of Article 6.1 of the GDPR

If confirmed, the aforementioned infringement of Article 6.1 of the GDPR could constitute the commission of the infringements classified in Article 83.5 of the GDPR, which under the heading “General conditions for the imposition of administrative fines” states:

“Violations of the following provisions shall be subject to administrative fines of up to 20,000,000 EUR or, in the case of an enterprise, an amount equivalent to a maximum of 4% of the total annual global turnover of the preceding financial year, opting for the higher amount:

a) the basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9.” For the purposes of the limitation period, Article 72 “Very serious infringements” of the LOPDGDD indicates:

“1. In accordance with what is established in Article 83.5 of Regulation (EU) 2016/679, the following shall be considered very serious and shall prescribe after three years: infringements that constitute a substantial violation of the articles mentioned therein and, in particular, the following:

(...)

b) the processing of personal data without any of the conditions for lawfulness of processing in Article 6 of Regulation (EU) 2016/679.

(...)”

VI

Proposal for sanction for the infringement of Article 6.1 of the GDPR

For the purpose of deciding on the imposition of an administrative fine and its amount, in accordance with the evidence available at this moment of the initiation of the sanctioning procedure, and without prejudice to what results from the instruction, it is considered appropriate to grade the sanction to be imposed according to the following criteria established in Article 83.2 of the GDPR:

As aggravating factors:

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

7/11

- The nature, severity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of affected parties and the level of damages they have suffered (section a): for the maintenance of the personal data of the claimant in the credit information file, when the debt had been sold to a third party, for the period from September 29, 2022 (date of the notarial deed of sale of the debt) until March 22, 2023 (date on which CAIXABANK certifies the deletion of the claimant's data in ASNEF).

- Intentionality/Negligence in the infringement (section b): in this case, we are dealing with a negligent action, as the personal data of the claimant is maintained in solvency files, despite the fact that the

debt had been sold to a third party.

It is also considered appropriate to adjust the sanction to be imposed according to the following criteria established in section 2 of Article 76 "Sanctions and corrective measures" of the LOPDGDD:

As aggravating factors:

- The link of the infringer's activity with the processing of personal data (section b): the entity CAIXABANK is accustomed to processing personal data.

The balance of the circumstances contemplated in Article 83.2 of the GDPR and 76.2 of the LOPDGDD, regarding the infringement committed by violating what is established in Article 6.1 of the GDPR, allows for an initial sanction of 200,000 euros.

V

Adoption of measures

If the infringement is confirmed, it could be agreed to impose on the responsible party the adoption of appropriate measures to adjust its actions to the regulations mentioned in this act, without prejudice to what is established in the aforementioned Article 58.2 d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified period...". The imposition of this measure is compatible with the sanction consisting of an administrative fine, as provided in Article 83.2 of the GDPR.

It is warned that failure to comply with the requirements of this body could be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in its Articles 83.5 and 83.6, which could motivate such conduct to open a further administrative sanctioning procedure.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

8/11

Therefore, in light of the above, by the Director of the Spanish Agency for Data Protection,
IT IS AGREED:

FIRST: TO INITIATE SANCTIONING PROCEDURE against CAIXABANK, S.A., with NIF A08663619, for the alleged infringement of Article 6.1 of the GDPR, classified in Article 83.5 of the GDPR.

SECOND: TO APPOINT B.B.B. as the instructor and C.C.C. as the secretary, indicating that they may be recused, if applicable, in accordance with the provisions of Articles 23 and 24 of Law 40/2015, of October 1, on the Legal Regime of the Public Sector (LRJSP).

THIRD: TO INCORPORATE into the sanctioning file, for evidentiary purposes, the complaint filed by the claimant and its documentation, as well as the documents obtained and generated by the General Subdirectorate for Data Inspection in the proceedings prior to the initiation of this sanctioning procedure.

FOURTH: THAT for the purposes provided in Article 64.2 b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the sanction that may correspond would be 200,000 euros, without prejudice to what results from the instruction.

FIFTH: TO NOTIFY this agreement to CAIXABANK, S.A., with NIF A08663619, granting it a hearing period of ten working days to submit any allegations and present the evidence it deems appropriate. In its written allegations, it must provide its NIF and the file number that appears in the heading of this document.

If no allegations are made against this initiation agreement within the stipulated period, it may be considered a proposal for resolution, as established in Article 64.2.f) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP).

In accordance with the provisions of Article 85 of the LPACAP, once a sanctioning procedure is initiated, if the infringer acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.

Likewise, as provided in said Article 85 of the LPACAP, the infringer may acknowledge their

responsibility within the period granted for the formulation of allegations to this initiation agreement; this will entail a reduction of 20% of the sanction that may be imposed in this procedure. With the application of this reduction, the sanction would be set at 160,000 euros (one hundred sixty thousand euros), resolving the procedure with the imposition of this sanction.

Similarly, they may, at any time prior to the resolution of this procedure, make voluntary payment of the proposed sanction, which will entail a reduction of 20% of its amount. With the application of this reduction, the sanction would be set at 160,000 euros (one hundred sixty thousand euros) and its payment

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es
9/11

will imply the termination of the procedure, without prejudice to the imposition of the corresponding measures.

The reduction for the voluntary payment of the sanction is cumulative with the one that corresponds to be applied for the acknowledgment of responsibility, provided that this acknowledgment of responsibility is made within the period granted to submit allegations regarding the opening of the procedure. The voluntary payment of the amount referred to in the previous paragraph may be made at any time prior to the resolution. In this case, if both reductions are applicable, the amount of the sanction will be set at 120,000 euros (one hundred twenty thousand euros).

In any case, the effectiveness of either of the two mentioned reductions will be conditioned upon the withdrawal or renunciation of any action or appeal in the administrative route against the sanction.

In the event that you choose to proceed with the voluntary payment of any of the amounts indicated above (160,000 euros or 120,000 euros), you must make it effective by depositing it into account No. IBAN: ES00 0000 0000 0000 0000 0000 opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A., indicating in the concept the reference number of the procedure that appears in the heading of this document and the reason for the reduction of the amount to which you are adhering.

You must also send the proof of payment to the General Sub-Directorate of Inspection to continue with the procedure in accordance with the amount deposited.

The procedure will have a maximum duration of twelve months from the date of the initiation agreement. After this period, it will expire, and consequently, the file will be archived; in accordance with the provisions of Article 64 of the LOPDGDD.

Finally, it is noted that according to the provisions of Article 112.1 of the LPACAP, there is no administrative appeal against this act.

935-290523

Mar España Martí
Director of the Spanish Agency for Data Protection

>>

SECOND: On October 9, 2023, the respondent has proceeded to pay the sanction in the amount of 120,000 euros, making use of the two reductions provided for in the previously transcribed Initiation Agreement, which implies the acknowledgment of responsibility.

THIRD: The payment made, within the period granted to submit allegations regarding the opening of the procedure, entails the renunciation of any action or appeal in the administrative route against the sanction and the acknowledgment of responsibility concerning the facts referred to in the Initiation Agreement.

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es

10/11

LEGAL GROUNDS

I

Competence

In accordance with the powers granted by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), to each supervisory authority and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and the guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, as long as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Termination of the procedure

Article 85 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), under the heading "Termination in sanctioning procedures" provides as follows:

"1. Once a sanctioning procedure has been initiated, if the offender acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.

2. When the sanction is solely pecuniary or when a pecuniary sanction can be imposed alongside a non-pecuniary sanction but the impropriety of the latter has been justified, the voluntary payment by the presumed responsible party, at any time prior to the resolution, will imply the termination of the procedure, except regarding the restoration of the altered situation or the determination of compensation for the damages caused by the commission of the infringement.

3. In both cases, when the sanction is solely pecuniary, the competent body to resolve the procedure will apply reductions of at least 20% on the amount of the proposed sanction, which are cumulative. The aforementioned reductions must be specified in the notification of initiation of the procedure, and their effectiveness will be conditioned upon the withdrawal or renunciation of any action or appeal in the administrative route against the sanction. The percentage of reduction provided in this section may be increased by regulation."

In accordance with the above,

the Director of the Spanish Agency for Data Protection RESOLVES:

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

11/11

FIRST: DECLARE the termination of the procedure EXP202302279, in accordance with the provisions of Article 85 of the LPACAP.

SECOND: NOTIFY this resolution to CAIXABANK, S.A.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative process as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within a period of two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

936-040822

Mar España Martí

Director of the Spanish Agency for Data Protection

C/ Jorge Juan, 6

www.aepd.es
28001 – Madrid
sedeagpd.gob.es